

As a result of increase in domestic production during FY24, the quantity of coal imported for domestic coal-based power plants has declined by 44.29% during April-November 2023 compared to the same period of last financial year (April-November 2022). While the overall quantity of coal imports, including both coking and non-coking, remained relatively stable, there was a significant decrease of 32.04% in terms of value (US$). This reduction has resulted in substantial savings of US$ 11.56 billion which in rupee terms, is of Rs. 82,546.32 crore (28.95%) compared to the same period of the previous financial year.

Domestic coal production is expected to grow by 6-7% annually to reach about 1.5 billion tonnes in FY30.

Redefining Coal Logistics for Greener Tomorrow

Embarking on a transformative journey in coal transportation, the Ministry of Coal has launched visionary initiatives like the Coal Logistics Policy, Integrated Coal Logistics Plan and pioneering First Mile Connectivity (FMC) projects amidst rising demands. These efforts aim to create cost efficient, sustainable, and resilient logistics infrastructure. Addressing transportation challenges, the government plans to construct new railway lines, augment capacity of railway network, expand, and prioritize FMC projects and railway sidings, aligning with long-term production projections. These evacuation infrastructures are planned in line with country's long term production projection. The strategic shift from traditional road to railway-based systems in FMC projects is pivotal for minimizing air pollution, alleviating traffic congestion, and preventing road damage.

Furthermore, in alignment with PM Gati Shakti, the Ministry has launched 15 railway projects to address multimodal connectivity gaps. Among these, five projects have already been commissioned, showcasing the government's dedication to harmonizing coal production growth with sustainable practices.

Coal companies have embarked on a total of 103 First Mile Connectivity (FMC) Projects, with a capacity of 1040 million metric tons, at a cost of Rs 24,000 crore. Currently, 31 FMC projects with a capacity of 291 million metric tons have been successfully completed. With energy demand set to soar, coal consumption is projected to rise from 980 MT to 1.5 BT by 2030, necessitating efficient logistics. The Ministry aims to boost rail's share in coal transportation to over 75%, by FY 2029-30.

To support these objectives, the Ministry of Railways proposes extensive Energy Corridor Project, encompassing construction of new railway lines, capacity augmentation of existing railway lines including high-density network and rail connectivity to the ports. Across Jharkhand, Odisha, Chhattisgarh and Telangana, a total of 8 Railway projects have been planned and are funded by coal companies on deposit basis or Joint Venture. Four of these projects have been commissioned. Additionally, several critical railway projects have been identified to meet the future coal evacuation demand.

Rail – Sea- Rail route

Aligned with a broader vision of sustainable coal transportation, the Ministry has ventured into waterways transportation, introducing Rail-Sea-Rail Transportation for coal and expanding the NW-5 Inland Waterways network. The Ministry of Coal's initiatives to boost Rail-Sea-Rail transportation are proving highly successful, with a remarkable growth in coastal shipping of coal of 125% growth observed over the past four years.

Diversification of Coal/ Lignite CPSEs to Ensure Sustainability in Operations

The Ministry of Coal is actively promoting extensive diversification within CPSEs, establishing pit-head TPPs, Solar Power Plants, Coal /Lignite Gasification plants, critical Mineral exploration. Emphasizing the use of de-coaled land for cost-effective pithead thermal power plants, the Ministry's directive aims to secure sustainable operations for both CIL and NLCIL, anticipating a future coal surplus. Complementing this strategy, the Ministry of Power mandates the creation of renewable energy potential alongside thermal power plants, ensuring a cost-effective and holistic approach to power generation for future needs.

Single Window for E-Auction and Other Initiatives

The introduction of a single window for e-auction of coal, approved in 2022, aims to streamline the coal market, remove distortions, and increase domestic coal demand. Other initiatives such as guidelines for mine plans and closures, and the reopening of discontinued mines on a revenue-sharing model, further demonstrate a commitment to optimal resource utilization. Additionally, several other reforms in the coal sector were introduced, including third-party quality checks and allowing 100% FDI in coal mining under the automatic route.

PPP- Introduction of Mine Developer cum Operator (MDO)

CIL has strategically enlisted reputable MDOs for coal mines through open global tenders, aiming to bolster domestic coal production and reduce reliance on imports. The involvement of MDOs in the sector is anticipated to further expand in the coming years, signifying a positive trajectory for the sustainable development of India's coal resources.

A revenue sharing mechanism for the utilization of existing resources in abandoned mines is crucial for sustainable development. With 34 identified mines this approach ensures equitable distribution of revenues, promoting responsible exploitation of resources while fostering economic growth in the region.

Make in India Action Plan

In a resolute push to dimmish India's reliance on import and boost local production, Ministry of Coal is taking consistent steps to foster indigenous



NLCIL - 20 MW Solar Power Project at Andaman & Nicobar Islands.